NEED TO KNOW

PURE TERM POLICIES TAX-EXEMPT

The Central Board of Direct Taxes has clarified pure term insurance policies are still exempted from taxation irrespective of their premium amount



There is something about income tax savings and life insurance. The two have been synonymous for decades to the extent that scores of income taxpayers have for generations looked at life insurance as a tax-saving instrument. The government has in recent years worked towards addressing this anomaly by curtailing the tax-free status enjoyed by policyholders on the maturity of insurance policies. In 2021, high-value ULIPs were made taxable and earlier this year, the budget proposal indicated similar restrictions in tax-free status for non-ULIP life insurance products. However, the detail lacked clarity on how to view this aspect of taxation on insurance policies.

In August, the CBDT (Central Board of Direct Taxes) issued a 17-page guideline to explain how this change will come into effect and what kind of non-ULIP life insurance policies will be affected. Pure term insurance policies will be exempted from taxation irrespective of their premium amount. Also, premiums paid toward pure term policies will not be included in calculating the total premium amount for taxation purposes. This, however, excludes term plans that repay the premiums on maturity. Likewise, the CBDT also clarified that the GST component would not be included for the purpose of calculating premiums for taxation purposes.

WHAT'S NEW?

The Income Tax Act's Section 10 (10) provides exclusions for specific amounts acquired through life insurance policies, including those received as bonus.

EXCEPTIONS TO KNOW

- The tax rule is not applicable on policies issued before April 1, 2023
- No tax when policy pay-out is on the death of the insured
- No tax on premiums when policy is pure term
- The cumulative premium limit doesn't include GST

SMART WAYS TO SKIRT TAX

- Treat life insurance as a risk protection tool and go for only pure term plans
- If you do take savings and investment type life policies, limit the total annual premium outgo under Rs 5 lakh
- Check how premiums will add up in case of multiple policies, especially where policy tenures are variable
- ULIPs and life policies with savings and investment components are treated differently for taxation; use them effectively